India's priorities and its performance. Komer indeed later dated the president's "pulling back" from South Asia to this period.[199]

Johnson thought the skirmishes, playing out as the US was escalating in Vietnam, were a manifestation of India's—and Pakistan's—misplaced sense of priorities in the face of the main threat in Asia: China.[200] He also saw the skirmishes as additional evidence that India was not living up to its billing. The president had never been as much of a true believer in India's potential as others in his administration—like Bowles, Komer, Bundy, and Deputy National Security Adviser Walt Rostow—or even converts to the cause like McNamara or Rusk.[201] He had been, however, a true believer in the Cold War framework, the China-India race, and the fact that Indian success or failure could affect not only American strategic interests but possibly his political interests as well.

By this point, however, the president was "terribly disillusioned by both" India and Pakistan. He questioned the roles that they had been assigned in the US script for Asia, telling Bundy that he wanted someone to "really evaluate that part of the world for me."[202] And he asked for McNamara to assess the "military and allied value" of India and Pakistan before he made a decision about any more aid "allocations."[203]

Adding to Johnson's sense that India was more a liability than an asset had been India's disappointing economic performance despite American aid.[204] Bundy reported Johnson's feeling that "we're spending [the] biggest single chunk of our aid money on an enterprise which isn't going anywhere fast."[205] At a meeting called to discuss aid for South Asia in June 1965, concerned about India's economic performance and the congressional attitude toward foreign aid, Johnson asserted that all aid decisions had to be approved by him.[206] He canceled advance program loans for both India and Pakistan and asked for a review of aid allocations to assess "(a) whether the US should be spending such large sums in either country; and (b) how to achieve more leverage for our money, in terms both of more effective self-help and of our political purposes."[207] He made clear to the head of the United States Agency for International Development that the policy review might result in a "substantial change" in those policies—or even "very likely a complete revision and a new policy that'll require some negotiations."[208]